



INVESTMENT RATIONALE

- The share of Wine consumption is less than 1% of the total alcohol consumption in India, which is expected to grow at CAGR of 14.4% going forward and Sula has over 50% market share in this industry. The new Capacity expansion should help it grow at a faster pace of 16.5% CAGR.
- The per capita consumption of wine is less than 100 ml in India compared to 1.1 litre in China and 51 litres in Portugal.
- The rise in the consumption of wine among female consumers should bode well for Sula as 35-40% of Indian wine consumers are women.
- Their Wine tourism business conducted a record 90,000+ tastings in 9MFY23, expect to conduct 1.2 Lakh tastings in FY23. Also, both of Sula's resorts recorded a ~80% occupancy with ARR of ~INR 10,500 for 9MFY23. This indicated that the wine drinking culture is gaining traction in India.
- The margin expansion was led by a focus on premiumization and operational efficiencies. The revenue contribution from the Elite & Premium category wines jumped to 74.5% from 69.9% in Q3FY22.
- Management is focusing on its own brands with its revenue contribution improving to 88.7% from 86.9% in Q3FY22.
- The wine business is a highly seasonal business with Q3 being the strongest quarter.
- Phase 1 of the planned 6 mn litre capacity expansion is up and running which should accommodate a record projected harvest.

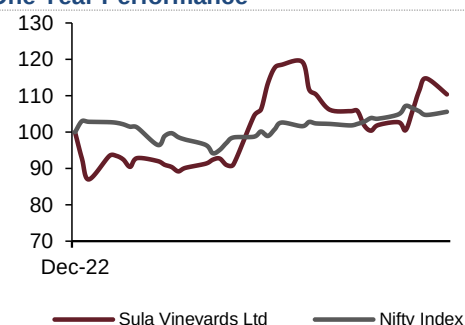
Rating	TP (Rs)	Up/Dn (%)
BUY	472	22

Market data

Current price	Rs	386
Market Cap (Rs.Bn)	(Rs Bn)	33
Market Cap (US\$ Mn)	(US\$ Mn)	402
Face Value	Rs	2
52 Weeks High/Low	Rs	432 / 305
Average Daily Volume	('000)	3,796
BSE Code		543711
Bloomberg		SULA.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-22	Sep-22
Promoters	27.33	27.33
Public	72.67	72.67
Total	100	100

Source: BSE

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Sula reported strong performance in Q3FY23 with the highest ever quarterly Revenue, EBITDA & Profits.

- **Revenue** at INR 2,092 Mn, +14.5% yoy
- 9MFY23 Revenue at INR 4332 Mn, +26.7% yoy

- **EBITDA** at INR 649.2 Mn, +14.6% yoy
- 9MFY23 EBITDA at INR 1292 Mn, +49.1% yoy

- **EBITDA margin** at 31.0% vs 31.0% / 29.9% in Q3FY22 / Q2FY23
- 9MFY23 EBITDA margin at 29.8% vs 25.4% in 9MFY22

- **Reported PAT** at INR 393 Mn, +15.5% yoy
- 9MFY23 Reported PAT at INR 698 Mn, +81% yoy

- **PAT Margin** at 18.7% vs 18.5% / 15.2% in Q3FY22 / Q2FY23
- 9MFY23 PAT margin at 16% vs 11.2% in 9MFY22

- **Reported EPS** at INR 4.8 vs 4.5 in Q3FY22
- 9MFY23 Reported EPS at INR 8.52 vs 5.07 in 9MFY22

- Gross Billings from Own brands stood at 1872 Mn vs 1657 Mn in Q3FY22, +13% YoY
- 9MFY23 Gross Billings from Own brands stood at 3915 Mn vs 3061 Mn in 9MFY22, +28% YoY

- Gross Billings from Wine Tourism stood at 230 Mn vs 203 Mn in Q3FY22, +13% YoY
- 9MFY23 Gross Billings from Wine Tourism stood at 586 Mn vs 397 Mn in 9MFY22, +48% YoY

Valuation & Outlook

Sula Vineyards is the market leader in the domestic (100% pure) grape wine market with 52% market share. The per capita consumption of wine is less than 100 ml compared to 1.1/51 litre in China/Portugal respectively. The share of Wine consumption as a percentage of the overall alcohol was less than 1%, compared to the global average of 13.5%. This makes it strongly poised to take advantage of the growing wine industry in India, which is expected to grow at 14.4% CAGR from FY 21-25. The EBITDA margins have improved on YoY basis from 10/15/25 in FY20/21/22 resulting from the increased focus on own brands, reduction in sales of 3rd party brands, optimization of marketing expenses and the gain of market share in the elite and premium category.

At the current level of INR 386, the stock is trading at 29.8x / 24.5x FY24e / FY25e EPS, which we believe is rational as Sula is the market leader in a nascent but growing market with positive demographic factors like the addition of 10 million eligible alcohol consumers each year. The upcoming capex should also add ~40% capacity by FY25, which should help it grow at 16.5% CAGR. **We recommend a BUY rating on the stock with a target price of INR 472 valuing the company at 30x PE multiple on FY25E earnings.**

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